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IDEA

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Greater China Semiconductors | Asia Pacific

# PC Semis: Divergent gross margin trends

FOMP (fear of missing procurement) will likely drive stable shipments for PC semis into 3Q, yet profitability may vary.

## Key Takeaways

- We expect PC semi shipments to sustain into 3Q, likely due to FOMP.
- With cost hikes (mainly from OSAT), supply chain management and customer mix will derive a divergent margin outlook.
- Overall we maintain our view that new growth drivers are needed, but adjust PT/earnings based on our demand outlook for 2H.

**3Q demand outlook better than feared?** We believe 3Q demand outlook for most PC semis could be stable – PC semi customers could maintain a flattish Q/Q procurement target, with key components (e.g. CPU) showing further sequential growth. Major driver could be FOMP, driven by overall mature foundry and OSAT tightness (limited supply/cost hikes). Some customers may consider low inventory risks if there's pent-up demand into 2027, suggesting increasing inventory digestion risks, especially when Windows activation day is approaching 200+.

**Margin could show divergent trend:** We expect all PC semis to try to pass through foundry/OSAT cost hikes to customers in 3Q. However, impact to gross margin could be different than during Covid, as overall tightness is not driven by PCs, but indirectly from servers. We believe design house scale, supply chain divergence and customer portfolios will derive differing margin outlooks; large IC design houses' strong supply chain management and comprehensive product mix (e.g. Novatek, Realtek) to maintain or even increase gross margin. Conversely, some small design houses may not see margin increase (e.g. Parade/Elan).

**New growth drivers major rating factors:** Prefer small design houses, mainly on emerging new growth drivers. Elan to benefit from non-PCs (mainly drones), with potential mid-high single digit revenue contribution in 2027. Parade likely to show high 2027 growth thanks to chipset ramp up. Conversely, we await new growth drivers from Novatek on cloud ASIC, which likely will take a longer time. We believe Realtek will ramp up 100G DSP in 2026, but 400G will be in 2028.

**Maintain OW on Parade/Elan, Realtek EW and Novatek UW:** Revise up Elan earnings ests mainly due to margin improvement and new revenue opportunities from non PC businesses – it is likely to gain some share in touch pads post Synaptics acquisition announcement. Valuation is 17x 2026e P/E, undemanding vs IC design peers at ~30x. Trim Parade PT/earnings ests on lower GM assumption for major client Apple and its sales (higher Apple end-product pricing). Revise up Realtek's earnings ests/PT thanks to sustained 3Q outlook (both revenue and GM).


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| GREATER CHINA TECHNOLOGY SEMICONDUCTORS | | |
|---|---|---|
| Asia Pacific Industry View | | Attractive |
| **WHAT'S CHANGED** | | |
| Elan Microelectronics Corp (2458.TW) Price Target | From NT$180.00 | To **NT$250.00** |
| Parade Technologies Ltd (4966.TWO) Price Target | From NT$1,000.00 | To **NT$818.00** |
| Realtek Semiconductor (2379.TW) Price Target | From NT$570.00 | To **NT$717.00** |

*With this note, coverage of Elan Microelectronics (2458.TW) is transferred to Daniel Yen.*


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# Parade: Earnings Estimate Revisions

**We cut our EPS estimates by 14%/14% for 2027/28:** We factor in the lower GM assumption from its major client (Apple) and lower Apple sales (due to higher Apple end product pricing).

**Exhibit 1:** Parade: Summary of estimate revisions

| NT$ mn | Current 2026E | Previous 2026E | Diff. | Current 2027E | Previous 2027E | Diff. | Current 2028E | Previous 2028E | Diff. |
|---|---|---|---|---|---|---|---|---|---|
| Net sales | 15,865 | 15,865 | 0% | 18,478 | 20,041 | -8% | 20,064 | 21,808 | -8% |
| COGS | 9,215 | 9,205 | | 10,597 | 11,458 | | 11,400 | 12,344 | |
| Gross profit | 6,650 | 6,660 | 0% | 7,881 | 8,583 | -8% | 8,665 | 9,464 | -8% |
| Operating expenses | 4,259 | 4,259 | | 4,406 | 4,480 | | 4,572 | 4,654 | |
| Operating profit | 2,390 | 2,401 | 0% | 3,475 | 4,103 | -15% | 4,092 | 4,810 | -15% |
| Non-op. income (exp.) | 216 | 216 | | 230 | 230 | | 230 | 230 | |
| Pretax Income | 2,606 | 2,617 | 0% | 3,705 | 4,333 | -14% | 4,322 | 5,040 | -14% |
| Taxes | 235 | 236 | | 333 | 390 | | 389 | 454 | |
| Net income | 2,371 | 2,381 | 0% | 3,371 | 3,943 | -14% | 3,933 | 4,586 | -14% |
| **Reported Diluted EPS** | **30.34** | **30.47** | **0%** | **43.14** | **50.45** | **-14%** | **50.33** | **58.69** | **-14%** |
| **Margins** | | | | | | | | | |
| Gross margin | 41.9% | 42.0% | 0 ppt | 42.7% | 42.8% | 0 ppt | 43.2% | 43.4% | 0 ppt |
| Operating margin | 15.1% | 15.1% | 0 ppt | 18.8% | 20.5% | -2 ppt | 20.4% | 22.1% | -2 ppt |
| Pretax margin | 16.4% | 16.5% | 0 ppt | 20.0% | 21.6% | -2 ppt | 21.5% | 23.1% | -2 ppt |
| Net margin | 14.9% | 15.0% | 0 ppt | 18.2% | 19.7% | -1 ppt | 19.6% | 21.0% | -1 ppt |

Source: Morgan Stanley Research (E) estimates

**Exhibit 2:** Quarterly earnings summary

| NT$ in million | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26E | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 1Q28E | 2Q28E | 3Q28E | 4Q28E | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Total Revenues | 4,152 | 4,114 | 4,377 | 3,888 | 3,990 | 4,049 | 4,038 | 3,788 | 3,933 | 4,506 | 5,109 | 4,931 | 4,727 | 4,900 | 5,463 | 4,974 | 16,531 | 15,865 | 18,478 | 20,064 |
| *Sequential Change* | 0.8% | -0.9% | 6.4% | -11.2% | 2.6% | 1.5% | -0.3% | -6.2% | 3.8% | 14.6% | 13.4% | -3.5% | -4.1% | 3.7% | 11.5% | -9.0% | | | | |
| *Change vs Year Ago* | 8.8% | 5.2% | -0.5% | -5.6% | -3.9% | -1.6% | -7.7% | -2.6% | -1.4% | 11.3% | 26.5% | 30.2% | 20.2% | 8.8% | 6.9% | 0.9% | 1.8% | -4.0% | 16.5% | 8.6% |
| Cost of Sales | 2,385 | 2,341 | 2,517 | 2,254 | 2,382 | 2,326 | 2,320 | 2,187 | 2,257 | 2,583 | 2,926 | 2,831 | 2,694 | 2,776 | 3,097 | 2,832 | 9,496 | 9,215 | 10,597 | 11,400 |
| *Percent of Revenues* | 57% | 57% | 57% | 58% | 60% | 57% | 57% | 58% | 57% | 57% | 57% | 57% | 57% | 57% | 57% | 57% | 57% | 58% | 57% | 57% |
| Gross Margin | 1,767 | 1,774 | 1,860 | 1,634 | 1,608 | 1,723 | 1,718 | 1,601 | 1,676 | 1,922 | 2,183 | 2,100 | 2,033 | 2,124 | 2,366 | 2,142 | 7,035 | 6,650 | 7,881 | 8,665 |
| *Percent of Revenues* | 42.6% | 43.1% | 42.5% | 42.0% | 40.3% | 42.5% | 42.5% | 42.3% | 42.6% | 42.7% | 42.7% | 42.6% | 43.0% | 43.3% | 43.3% | 43.1% | 42.6% | 41.9% | 42.7% | 43.2% |
| *Incremental Margin* | 91% | NM | 33% | NM | -26% | 194% | NM | NM | 52% | 43% | 43% | NM | NM | 52% | 43% | NM | 46% | NM | 47% | 49% |
| Total Opex | 1,110 | 1,065 | 1,048 | 1,103 | 1,068 | 1,055 | 1,074 | 1,063 | 1,069 | 1,096 | 1,125 | 1,116 | 1,126 | 1,135 | 1,161 | 1,150 | 4,326 | 4,259 | 4,406 | 4,572 |
| *Percent of Revenues* | 26.7% | 25.9% | 23.9% | 28.4% | 26.8% | 26.1% | 26.6% | 28.1% | 27.2% | 24.3% | 22.0% | 22.6% | 23.8% | 23.2% | 21.3% | 23.1% | 26.2% | 26.8% | 23.8% | 22.8% |
| R&D | 744 | 723 | 700 | 742 | 728 | 728 | 748 | 748 | 748 | 748 | 748 | 748 | 768 | 768 | 768 | 780 | 2,910 | 2,953 | 2,993 | 3,084 |
| *Percent of Revenues* | 17.9% | 17.6% | 16.0% | 19.1% | 18.3% | 18.0% | 18.5% | 19.8% | 19.0% | 16.6% | 14.6% | 15.2% | 16.2% | 15.7% | 14.1% | 15.7% | 17.6% | 18.6% | 16.2% | 15.4% |
| General & administrative | 156 | 143 | 134 | 136 | 136 | 136 | 136 | 136 | 136 | 136 | 136 | 136 | 136 | 136 | 136 | 136 | 569 | 545 | 545 | 545 |
| *Percent of Revenues* | 3.7% | 3.5% | 3.1% | 3.5% | 3.4% | 3.4% | 3.4% | 3.6% | 3.5% | 3.0% | 2.7% | 2.8% | 2.9% | 2.8% | 2.5% | 2.7% | 3.4% | 3.4% | 3.0% | 2.7% |
| Selling & marketing | 210 | 199 | 213 | 225 | 203 | 190 | 190 | 178 | 185 | 212 | 240 | 232 | 222 | 230 | 257 | 234 | 847 | 762 | 868 | 943 |
| *Percent of Revenues* | 5.1% | 4.8% | 4.9% | 5.8% | 5.1% | 4.7% | 4.7% | 4.7% | 4.7% | 4.7% | 4.7% | 4.7% | 4.7% | 4.7% | 4.7% | 4.7% | 5.1% | 4.8% | 4.7% | 4.7% |
| Operating Income | 657 | 709 | 812 | 531 | 540 | 668 | 644 | 539 | 607 | 826 | 1,058 | 984 | 907 | 989 | 1,205 | 992 | 2,709 | 2,390 | 3,475 | 4,092 |
| *Percent of Revenues* | 15.8% | 17.2% | 18.6% | 13.7% | 13.5% | 16.5% | 15.9% | 14.2% | 15.4% | 18.3% | 20.7% | 20.0% | 19.2% | 20.2% | 22.1% | 19.9% | 16.4% | 15.1% | 18.8% | 20.4% |
| *Change vs Year Ago* | 25.7% | 38.7% | 7.8% | -20.1% | -17.9% | -5.7% | -20.8% | 1.5% | 12.4% | 23.7% | 64.4% | 82.6% | 49.4% | 19.7% | 13.9% | 0.8% | 10% | -12% | 45% | 18% |
| Total Non-operating Income(Loss | 71 | 69 | 69 | 65 | 42 | 59 | 58 | 57 | 57 | 57 | 57 | 57 | 57 | 57 | 57 | 57 | 273 | 216 | 230 | 230 |
| Profit Before Taxes | 728 | 777 | 881 | 596 | 582 | 727 | 702 | 596 | 664 | 883 | 1,116 | 1,041 | 964 | 1,046 | 1,262 | 1,049 | 2,982 | 2,606 | 3,705 | 4,322 |
| *Percent of Revenues* | 18% | 19% | 20% | 15% | 15% | 18% | 17% | 16% | 17% | 20% | 22% | 21% | 20% | 21% | 23% | 21% | 18% | 16% | 20% | 22% |
| Taxes | 64 | 75 | 66 | 51 | 53 | 65 | 63 | 54 | 60 | 80 | 100 | 94 | 87 | 94 | 114 | 94 | 256 | 235 | 333 | 389 |
| *Tax Rate* | 8.8% | 9.6% | 7.4% | 8.6% | 9.1% | 9.0% | 9.0% | 9.0% | 9.0% | 9.0% | 9.0% | 9.0% | 9.0% | 9.0% | 9.0% | 9.0% | 8.6% | 9.0% | 9.0% | 9.0% |
| Net Income, Cont Ops | 664 | 702 | 816 | 544 | 529 | 661 | 638 | 542 | 605 | 804 | 1,015 | 947 | 877 | 952 | 1,149 | 955 | 2,727 | 2,371 | 3,371 | 3,933 |
| *Percent of Revenues* | 16% | 17% | 19% | 14% | 13% | 16% | 16% | 14% | 15% | 18% | 20% | 19% | 19% | 19% | 21% | 19% | 16% | 15% | 18% | 20% |
| **Reported Income (TW GAAP)** | **664** | **702** | **816** | **544** | **529** | **661** | **638** | **542** | **605** | **804** | **1,015** | **947** | **877** | **952** | **1,149** | **955** | **2,727** | **2,371** | **3,371** | **3,933** |
| *Percent of Revenues* | 16% | 17% | 19% | 14% | 13% | 16% | 16% | 14% | 15% | 18% | 20% | 19% | 19% | 19% | 21% | 19% | 16% | 15% | 18% | 20% |
| *Change vs Year Ago* | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 0% | 5% | -13% | 42% | 17% |
| **Reported EPS (NT$, TW GAAF** | **8.38** | **8.95** | **10.45** | **6.89** | **6.77** | **8.46** | **8.17** | **6.94** | **7.74** | **10.29** | **12.99** | **12.12** | **11.23** | **12.18** | **14.70** | **12.22** | **34.67** | **30.34** | **43.14** | **50.33** |
| *Change vs Year Ago* | 16% | 25% | 9% | -20% | -19% | -5% | -22% | 1% | 14% | 22% | 59% | 75% | 45% | 18% | 13% | 1% | 7% | -12% | 42% | 17% |

Source: Morgan Stanley Research (E) estimates

# Parade: Valuation Methodology

**We cut our price target from NT$1,000 to NT$818:** Our price target is our base case scenario value, which we continue to derive from a residual income model. Our bull and bear case scenario values are cut from NT$1,600 to NT$948, and from NT$520 to NT $418, respectively.

We reduce our intermediate growth rate from 11.9% to 11.4% to reflect updated outlook from its major customer. Other key assumptions are unchanged:

- 9.8% cost of equity (beta 1.3, risk-free rate 2% and risk premium 6%)
- Payout ratio of 50%
- Terminal growth rate of 4.0%

**Exhibit 3:** Parade: Residual income model

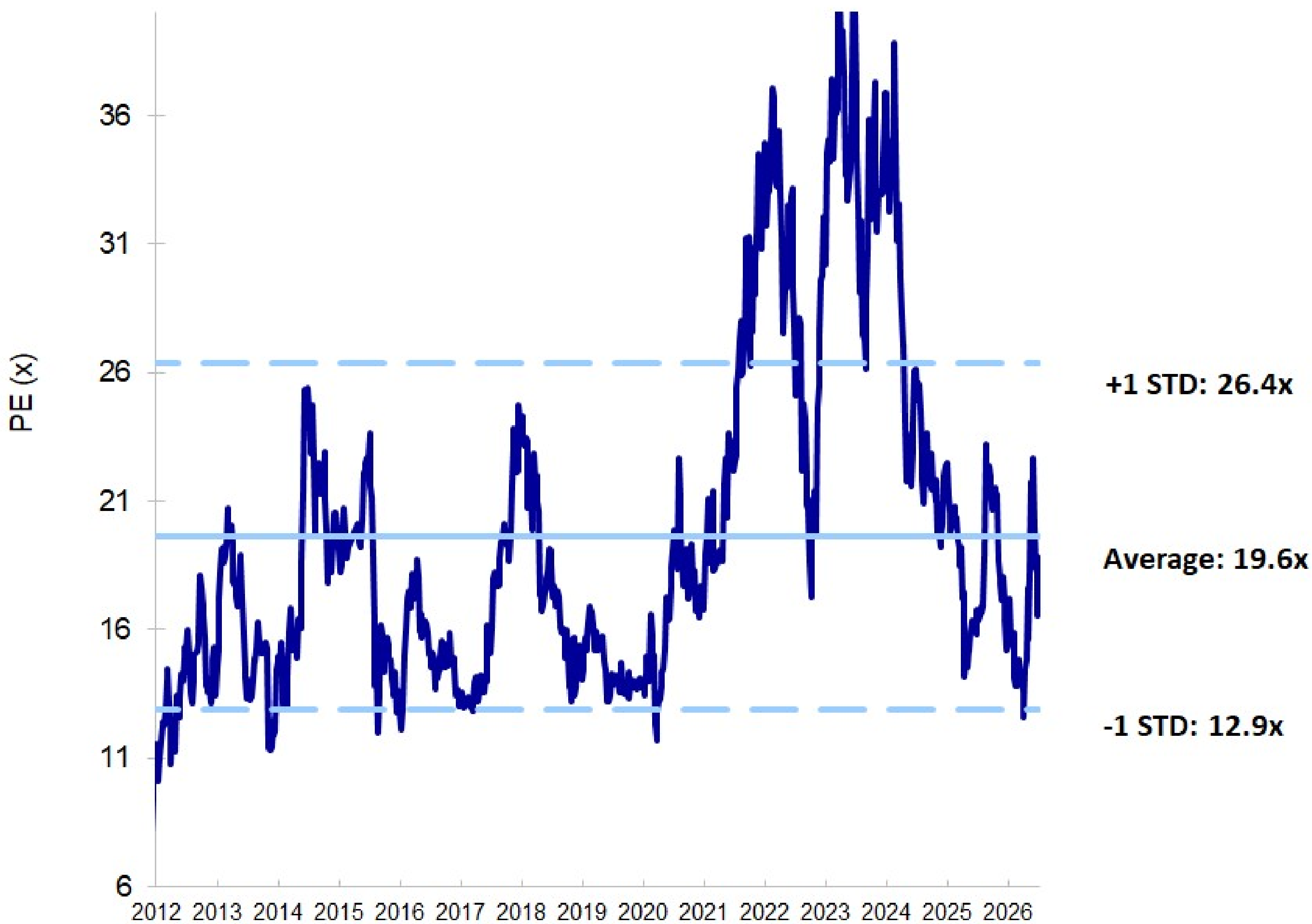
| NT$million | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | 2034E | 2035E | 2036E | 2037E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Total Equity** | **23,110** | **25,304** | **27,564** | **29,974** | **32,659** | **35,650** | **38,983** | **42,696** | **46,832** | **51,441** | **56,575** | **62,295** |
| **Net Profit** | **2,371** | **3,371** | **3,933** | **4,382** | **4,882** | **5,439** | **6,059** | **6,751** | **7,521** | **8,379** | **9,335** | **10,400** |
| | | | | | | | | | | | | |
| ROAE | **10.5%** | **13.9%** | **14.9%** | **15.2%** | **15.6%** | **15.9%** | **16.2%** | **16.5%** | **16.8%** | **17.1%** | **17.3%** | **17.5%** |
| | | | | | | | | | | | | |
| **Residual Income** | 158 | 958 | 1,290 | 1,503 | 1,741 | 2,007 | 2,302 | 2,631 | 2,998 | 3,406 | 3,861 | 4,367 |
| **Spread** | **0.7%** | **4.1%** | **5.1%** | **5.5%** | **5.8%** | **6.1%** | **6.5%** | **6.8%** | **7.0%** | **7.3%** | **7.5%** | **7.7%** |
| | | | | | | | | | | | | |
| Ending Equity Capital | 23,110 | | | | | | | | | | | |
| PV of Forecast Period | 12,632 | | | | | | | | | | | |
| PV of Continuing Value | 28,153 | | | | | | | | | | | |
| **Equity Value** | **63,895** | | | | | | | | | | | |
| No. of Shares | 78 | | | | | | | | | | | |
| **Projected Price** | **818** | | | | | | | | | | | |

Source: Morgan Stanley Research (E) estimates

# Parade: Relative Valuation

Parade stock is trading at 22x our new 2026 EPS estimate, which we consider attractive vs. the historical average of 19.6x since 2012, as we view the chipset business as a meaningful new growth driver.

**Exhibit 4:** Parade: Historical P/E




Source: FactSet, Morgan Stanley Research

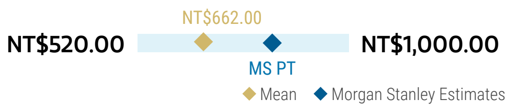
# Risk Reward – Parade Technologies Ltd (4966.TWO)

Share gain in chipset business; OW

## PRICE TARGET NT$818.00

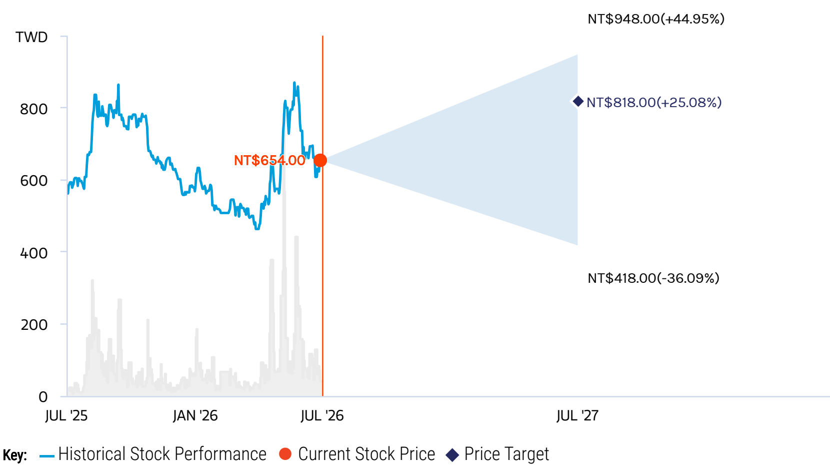
Base case, residual income model. Key assumptions: cost of equity (beta 1.3, risk-free rate 2%, risk premium 6%) of 9.8%, medium-term growth rate of 11.4%, and terminal growth rate of 4.0%.

**Consensus Price Target Distribution**




Source: Refinitiv, Morgan Stanley Research

## RISK REWARD CHART

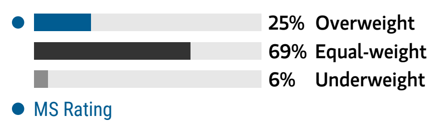



Source: Refinitiv, Morgan Stanley Research

## OVERWEIGHT THESIS

- Our OW rating reflects potential share gains in the ASIC-like business and better than feared 2H26 demand on NB (especially on Apple). We believe Parade could take some share in the chipset market, due mainly to better performance on power consumption.
- The PC market is likely to face strong headwinds amid a shortage of memory chips, which would be more apparent in 2H26. Parade now has 90% revenue exposure to PCs.
- For DisplayPort, low-end panel price competition should get worse before it gets better; the the company is leveraging a high-end strategy to differentiate its products.
- For high-speed interface, Parade seeks to expand beyond the NB market to the data center and automotive markets.

**Consensus Rating Distribution**




Source: Refinitiv, Morgan Stanley Research

**Risk Reward Themes**

**Secular Growth:** *Positive*
**Technology Diffusion:** *Positive*

View descriptions of Risk Rewards Themes here

### BULL CASE NT$948.00

**31x 2026e P/E**

We expect: 1) significant share gain in the chipset market; 2) T-Con sales to grow 20%% Y/Y in 2026; 3) high-speed interface to rise 30% in 2026; 4) overall gross margin of 50%+ in 2026-27; 5) Apple fails to make its in-house T-Con..

### BASE CASE NT$818.00

**27x 2026e P/E**

We expect: 1) moderate share gain in the chipset market; 2) T-Con sales to drop 13% Y/Y in 2026; 3) high-speed interface to rise 7% in 2026; 4) overall gross margin of 42-43% in 2026-27; 5) Apple in-house T-Con event unlikely to occur in the next three years.

### BEAR CASE NT$418.00

**14x 2026e P/E**

We expect: 1) no share gain in the chipset market; 2) T-Con sales to drop 20% Y/Y in 2026; 3) high-speed interface to drop 10% in 2026; 4) overall gross margin of ~40% in 2026-27; 5) Apple in-house T-Con event occurs.

# Risk Reward – Parade Technologies Ltd (4966.TWO)

## KEY EARNINGS INPUTS

| Drivers | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|---|---|---|---|---|
| T-Con revenue (NT$, mn) | 6,396 | 5,539 | 5,792 | 5,440 |
| High speed interface revenue (NT$, mn) | 7,662 | 8,176 | 9,266 | 10,657 |
| Driver IC revenue (NT$, mn) | 1,980 | 1,290 | 1,066 | 949 |
| Touch IC revenue (NT$, mn) | 546 | 860 | 817 | 731 |

## INVESTMENT DRIVERS

- eDP Tcon shipments and spec upgrades
- Apple MacBook, iPad, and iMac shipments
- HDMI jitter cleaning shipments
- USB and PCI-e repeater shipments
- USB-C DP/HDMI shipments

## GLOBAL REVENUE EXPOSURE

- 0-10% Europe ex UK
- 0-10% Japan
- 0-10% North America
- 40-50% APAC, ex Japan, Mainland China and India
- 40-50% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

## RISKS TO PT/RATING

### RISKS TO UPSIDE

- Faster-than-expected Apple product shipments and spec upgrades
- Faster-than-expected launch of next-gen server platform
- Easing of US tariffs

### RISKS TO DOWNSIDE

- Slower-than-expected Apple product shipments and spec upgrades
- Intensifying competition in high-speed interface area for converters, switches, and redrivers/retimers
- Slower-than-expected launch of next-gen server platform

## OWNERSHIP POSITIONING

**Inst. Owners, % Active** 75.3%

Source: Refinitiv, Morgan Stanley Research

## MS ESTIMATES VS. CONSENSUS

*FY Dec 2026e*

| | Morgan Stanley Estimates | Low | Mean | High |
|---|---|---|---|---|
| **Sales / Revenue** (NT$, mn) | 15,865 | 15,865 | 17,353 | 18,290 |
| **EBITDA** (NT$, mn) | 2,712 | 2,712 | 3,338 | 3,721 |
| **Net income** (NT$, mn) | 2,371 | 2,371 | 2,684 | 2,965 |
| **EPS** (NT$) | 30.34 | 30.34 | 34.06 | 37.18 |

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

# Parade: Financial Summary

**Exhibit 5:** Parade: Financial Summary

## Income Statement

| NT$mn (Years End Dec ) | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| Net sales | 16,531 | 15,865 | 18,478 | 20,064 |
| COGS | (9,496) | (9,215) | (10,597) | (11,400) |
| Gross profit | 7,035 | 6,650 | 7,881 | 8,665 |
| Operating expenses | (4,326) | (4,259) | (4,406) | (4,572) |
| **Operating income** | **2,709** | **2,390** | **3,475** | **4,092** |
| Non-operating income | 273 | 216 | 230 | 230 |
| Pre-tax income | 2,982 | 2,606 | 3,705 | 4,322 |
| Income tax | 256 | 235 | 333 | 389 |
| **Reported net Income** | **2,727** | **2,371** | **3,371** | **3,933** |
| Adj. wtd. avg. shrs( m) | 80 | 78 | 78 | 78 |
| **Reported EPS (NT$)** | **34.67** | **30.34** | **43.14** | **50.33** |

## Balance Sheet

| NT$mn (Years End Dec ) | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| Cash | 10,900 | 12,071 | 13,617 | 15,489 |
| Mkt Securities | 0 | 0 | 0 | 0 |
| AR/NR | 1,858 | 1,642 | 1,913 | 2,077 |
| Inventory | 3,622 | 3,690 | 4,243 | 4,565 |
| Other | 589 | 589 | 589 | 589 |
| **Current Assets** | **16,969** | **17,992** | **20,363** | **22,720** |
| Long-term investments | 0 | 0 | 0 | 0 |
| Fixed assets | 298 | 308 | 318 | 328 |
| Deferred assets | 326 | 326 | 326 | 326 |
| Other assets | 8,363 | 8,363 | 8,363 | 8,363 |
| **Total Assets** | **25,956** | **26,989** | **29,370** | **31,737** |
| S/T borrowings | 0 | 0 | 0 | 0 |
| AP/NP | 1,240 | 1,243 | 1,429 | 1,537 |
| Other ST liabilities | 2,381 | 2,381 | 2,381 | 2,381 |
| LT debt | 0 | 0 | 0 | 0 |
| Other LT liabilities | 255 | 255 | 255 | 255 |
| Common shares | 801 | 801 | 801 | 801 |
| **Total Liabilities** | **3,877** | **3,879** | **4,065** | **4,174** |
| Additional capital | 4,421 | 4,421 | 4,421 | 4,421 |
| Retained earning | 16,846 | 17,877 | 20,071 | 22,330 |
| Other shareholders' equity | 12 | 12 | 12 | 12 |
| **Total Equity** | **22,080** | **23,110** | **25,304** | **27,564** |
| **Total Liab. & Shrhldr's Equity** | **25,956** | **26,989** | **29,370** | **31,737** |

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

## Cash Flow Statement

| NT$mn (Years End Dec ) | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| **Cashflow from Operations** | **3,419** | **2,843** | **3,062** | **3,890** |
| Net profits | 2,727 | 2,371 | 3,371 | 3,933 |
| Depreciation | 315 | 322 | 328 | 335 |
| Working Capital Change | 99 | 150 | (637) | (377) |
| Other adjustments | 279 | 0 | 0 | 0 |
| **Cashflow from Investing** | **(308)** | **(332)** | **(338)** | **(345)** |
| Capex | (139) | (332) | (338) | (345) |
| Change of LT Investment | 0 | 0 | 0 | 0 |
| Change of ST Investment | 0 | 0 | 0 | 0 |
| Other adjustments | (169) | 0 | 0 | 0 |
| **Cashflow from financing** | **(2,468)** | **(1,340)** | **(1,177)** | **(1,674)** |
| Increase in L/T debt | 0 | 0 | 0 | 0 |
| Increase in S/T debt | 0 | 0 | 0 | 0 |
| Cash Dividend Paid | (1,295) | (1,340) | (1,177) | (1,674) |
| Dir& Emp Bonus Paid | 0 | 0 | 0 | 0 |
| Issuance of stock | 0 | 0 | 0 | 0 |
| Other adjustments | (1,174) | 0 | 0 | 0 |
| Exchange rate adjustment | (275) | 0 | 0 | 0 |
| **Net change in cash** | **368** | **1,171** | **1,546** | **1,872** |

## Financial Ratios

| | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|
| **Growth(%)** | | | | |
| Turnover | 1.8 | -4.0 | 16.5 | 8.6 |
| Operating profits | 10.5 | -11.8 | 45.4 | 17.8 |
| EPS | 6.5 | -12.5 | 42.2 | 16.7 |
| **Margins (%)** | | | | |
| Gross Margin | 42.6 | 41.9 | 42.7 | 43.2 |
| Operating Margin | 16.4 | 15.1 | 18.8 | 20.4 |
| Pretax Margin | 18.0 | 16.4 | 20.0 | 21.5 |
| Net Margin | 16.5 | 14.9 | 18.2 | 19.6 |
| **Return (%)** | | | | |
| ROAE | 12.3 | 10.5 | 13.9 | 14.9 |
| ROAA | 10.5 | 9.0 | 12.0 | 12.9 |
| **Gearing (%)** | | | | |
| Net Debt/Equity | (49.4) | (52.2) | (53.8) | (56.2) |
| Liabilities/Equity | 17.6 | 16.8 | 16.1 | 15.1 |
| **Ratios (X)** | | | | |
| Current ratio | 4.7 | 5.0 | 5.3 | 5.8 |
| Quick ratio | 3.5 | 3.8 | 4.1 | 4.5 |
| **Others** | | | | |
| AR/NR Turnover (days) | 38 | 38 | 38 | 38 |
| Inventory Turnover (days) | 146 | 146 | 146 | 146 |
| AP Turnover (days) | 49 | 49 | 49 | 49 |
| Cash Conversion (days) | 135 | 135 | 135 | 135 |

# Elan Micro: Earnings estimate revisions

**We increase our EPS estimates by 10%/18%/19% for 2026/27/28:** We believe Elan will be benefiting from the non PC business (mainly the drone market), with potential mid to high single digit revenue contribution in 2027. We also see better GM from better product mix, and more sustained supply chain shortage.

**Exhibit 6:** Elan: Estimate revisions

| (NT$ mn) | New '26e | Old '26e | Diff. | New '27e | Old '27e | Diff. | New '28e | Old '28e | Diff. |
|---|---|---|---|---|---|---|---|---|---|
| Net sales | 13,886 | 13,615 | 2% | 15,901 | 15,055 | 6% | 16,713 | 15,450 | 8% |
| COGS | 7,051 | 7,150 | | 7,999 | 7,937 | | 8,696 | 8,265 | |
| Gross profit | 6,836 | 6,466 | 6% | 7,902 | 7,118 | 11% | 8,017 | 7,185 | 12% |
| Operating expenses | 3,300 | 3,282 | | 3,572 | 3,518 | | 3,622 | 3,562 | |
| Operating profit | 3,535 | 3,183 | 11% | 4,330 | 3,600 | 20% | 4,395 | 3,623 | 21% |
| Non-op. income (exp.) | 254 | 254 | | 187 | 187 | | 176 | 176 | |
| Pretax income | 3,789 | 3,437 | 10% | 4,517 | 3,787 | 19% | 4,571 | 3,799 | 20% |
| Taxes | 901 | 813 | | 1,129 | 947 | | 1,143 | 950 | |
| Net income | 3,004 | 2,740 | 10% | 3,528 | 2,980 | 18% | 3,568 | 2,989 | 19% |
| **Reported EPS** | **10.49** | **9.57** | **10%** | **12.32** | **10.41** | **18%** | **12.46** | **10.44** | **19%** |
| | | | | | | | | | |
| **Margins** | | | | | | | | | |
| Gross margin | 49.2% | 47.5% | 1.7% | 49.7% | 47.3% | 2.4% | 48.0% | 46.5% | 1.5% |
| Operating margin | 25.5% | 23.4% | 2.1% | 27.2% | 23.9% | 3.3% | 26.3% | 23.4% | 2.8% |
| Pretax margin | 27.3% | 25.2% | 2.0% | 28.4% | 25.2% | 3.3% | 27.3% | 24.6% | 2.8% |
| Net margin | 21.6% | 20.1% | 1.5% | 22.2% | 19.8% | 2.4% | 21.3% | 19.3% | 2.0% |
| Opex % | 23.8% | 24.1% | -0.3% | 22.5% | 23.4% | -0.9% | 21.7% | 23.1% | -1.4% |

Source: Company data, Morgan Stanley Research (e) estimates.

**Exhibit 7:** Elan: Quarterly financial statement

| (NT$ mn) | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26e | 3Q26e | 4Q26e | 1Q27e | 2Q27e | 3Q27e | 4Q27e | 1Q28e | 2Q28e | 3Q28e | 4Q28e | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Total Revenues** | **3,119** | **3,032** | **3,316** | **2,860** | **3,225** | **3,349** | **3,606** | **3,707** | **3,593** | **3,900** | **4,234** | **4,174** | **3,813** | **4,085** | **4,417** | **4,398** | **12,326** | **13,886** | **15,901** | **16,713** |
| *Sequential Change* | 2.7% | -2.8% | 9.4% | -13.8% | 12.8% | 3.8% | 7.7% | 2.8% | -3.1% | 8.5% | 8.6% | -1.4% | -8.6% | 7.1% | 8.1% | -0.4% | | | | |
| *Change vs Year Ago* | 0.4% | -3.8% | -2.5% | -5.8% | 3.4% | 10.5% | 8.7% | 29.6% | 11.4% | 16.5% | 17.4% | 12.6% | 6.1% | 4.7% | 4.3% | 5.4% | -2.9% | 12.7% | 14.5% | 5.1% |
| Cost of Sales | 1,555 | 1,575 | 1,750 | 1,450 | 1,688 | 1,686 | 1,810 | 1,866 | 1,809 | 1,963 | 2,130 | 2,097 | 1,914 | 2,047 | 2,210 | 2,195 | 6,330 | 7,051 | 7,999 | 8,696 |
| *Percent of Revenues* | 50% | 52% | 53% | 51% | 52% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 50% | 51% | 51% | 50% | 52% |
| **Gross Profit** | **1,564** | **1,457** | **1,566** | **1,410** | **1,537** | **1,663** | **1,795** | **1,841** | **1,784** | **1,937** | **2,104** | **2,077** | **1,899** | **2,037** | **2,207** | **2,203** | **5,996** | **6,836** | **7,902** | **8,017** |
| *Percent of Revenues* | 50.1% | 48.0% | 47.2% | 49.3% | 47.6% | 49.7% | 49.8% | 49.7% | 49.7% | 49.7% | 49.7% | 49.8% | 49.8% | 49.9% | 50.0% | 50.1% | 48.6% | 49.2% | 49.7% | 48.0% |
| *Incremental Margin* | 67% | NM | 38% | NM | 35% | 102% | 51% | 45% | NM | 50% | 50% | NM | NM | 51% | 51% | NM | NM | 54% | 53% | 14% |
| Total Opex | 778 | 712 | 774 | 748 | 758 | 803 | 869 | 871 | 806 | 871 | 952 | 943 | 856 | 919 | 1,000 | 993 | 3,014 | 3,300 | 3,572 | 3,622 |
| *Percent of Revenues* | 25.0% | 23.5% | 23.3% | 26.2% | 23.5% | 24.0% | 24.1% | 23.5% | 22.4% | 22.3% | 22.5% | 22.6% | 22.4% | 22.5% | 22.6% | 22.6% | 24.4% | 23.8% | 22.5% | 21.7% |
| **Operating Income** | **785** | **744** | **792** | **661** | **779** | **861** | **926** | **970** | **979** | **1,066** | **1,151** | **1,134** | **1,043** | **1,119** | **1,208** | **1,210** | **2,982** | **3,535** | **4,330** | **4,395** |
| *Percent of Revenues* | 25.2% | 24.5% | 23.9% | 23.1% | 24.1% | 25.7% | 25.7% | 26.2% | 27.2% | 27.3% | 27.2% | 27.2% | 27.4% | 27.4% | 27.3% | 27.5% | 24.2% | 25.5% | 27.2% | 26.3% |
| Total Non-operating Income (Loss) | (66) | (324) | 151 | 106 | 61 | 64 | 64 | 64 | 47 | 47 | 47 | 47 | 36 | 36 | 36 | 36 | (132) | 254 | 187 | 176 |
| Profit Before Taxes | 719 | 420 | 943 | 768 | 840 | 925 | 990 | 1,034 | 1,025 | 1,113 | 1,198 | 1,181 | 1,079 | 1,154 | 1,243 | 1,246 | 2,850 | 3,789 | 4,517 | 4,571 |
| *Percent of Revenues* | 23% | 14% | 28% | 27% | 26% | 28% | 27% | 28% | 29% | 29% | 28% | 28% | 28% | 28% | 28% | 28% | 23% | 27% | 28% | 27% |
| Taxes | 204 | 110 | 173 | 55 | 164 | 231 | 248 | 259 | 256 | 278 | 300 | 295 | 270 | 289 | 311 | 312 | 543 | 901 | 1,129 | 1,143 |
| *Tax Rate* | 28.4% | 26.2% | 18.3% | 7.2% | 19.5% | 25.0% | 25.0% | 25.0% | 25.0% | 25.0% | 25.0% | 25.0% | 25.0% | 25.0% | 25.0% | 25.0% | 19.0% | 23.8% | 25.0% | 25.0% |
| **Reported Income (TW GAAP)** | **548** | **354** | **804** | **736** | **705** | **723** | **772** | **805** | **804** | **869** | **934** | **921** | **844** | **901** | **968** | **970** | **2,442** | **3,004** | **3,528** | **3,568** |
| *Percent of Revenues* | 17.6% | 11.7% | 24.3% | 25.7% | 21.9% | 21.6% | 21.4% | 21.7% | 22.4% | 22.3% | 22.0% | 22.1% | 22.1% | 22.1% | 21.9% | 22.0% | 19.8% | 21.6% | 22.2% | 21.3% |
| *Change vs Year Ago* | -20% | -52% | 13% | 22% | 29% | 104% | -4% | 9% | 14% | 20% | 21% | 14% | 5% | 4% | 4% | 5% | -11% | 23% | 17% | 1% |
| **Reported EPS (NT$, TW GAAP)** | **1.92** | **1.24** | **2.81** | **2.57** | **2.46** | **2.52** | **2.70** | **2.81** | **2.81** | **3.04** | **3.26** | **3.22** | **2.95** | **3.15** | **3.38** | **3.39** | **8.53** | **10.49** | **12.32** | **12.46** |
| *Change vs Year Ago* | -20% | -52% | 13% | 22% | 29% | 104% | -4% | 9% | 14% | 20% | 21% | 14% | 5% | 4% | 4% | 5% | -11% | 23% | 17% | 1% |

Source: Company data, Morgan Stanley Research (e) estimates

## Valuation Methodology

**We raise our price target to NT$250:** This factors in our earnings estimates revisions for 2026-27. Our price target is our base-case scenario value, which we continue to derive from our residual income model. We raise our intermediate growth rate estimate from 8.0% to 10.0% due to a better outlook for the company's drone business. We continue to assume a cost of equity of 9.6%, a payout ratio of 80%, and a terminal growth rate of 4.5%.

We also raise our bull case scenario value to NT$366 from NT$263 and our bear case to NT$131 from NT$95.

**Exhibit 8:** Elan: Residual income

| (NT$ mn) | 2026e | 2027e | 2028e | 2029e | 2030e | 2031e | 2032e | 2033e | 2034e | 2035e | 2036e | 2037e |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Total Equity** | **11,822** | **13,335** | **14,537** | **15,636** | **16,845** | **18,175** | **19,637** | **21,246** | **23,016** | **24,963** | **27,104** | **29,460** |
| **Net Profit** | **3,004** | **3,528** | **3,568** | **3,925** | **4,317** | **4,749** | **5,224** | **5,746** | **6,321** | **6,953** | **7,648** | **8,413** |
| ROAE | **27.0%** | **28.0%** | **25.6%** | **26.0%** | **26.6%** | **27.1%** | **27.6%** | **28.1%** | **28.6%** | **29.0%** | **29.4%** | **29.7%** |
| **Residual Income** | 1,816 | 2,181 | 2,134 | 2,386 | 2,655 | 2,951 | 3,277 | 3,635 | 4,028 | 4,461 | 4,937 | 5,461 |
| **Spread** | **17.4%** | **18.4%** | **16.0%** | **16.4%** | **17.0%** | **17.5%** | **18.0%** | **18.5%** | **19.0%** | **19.4%** | **19.8%** | **20.1%** |
| Ending Equity Capital | 11,822 | | | | | | | | | | | |
| PV of Forecast Period | 18,953 | | | | | | | | | | | |
| PV of Continuing Value | 40,819 | | | | | | | | | | | |
| **Equity Value** | **71,594** | | | | | | | | | | | |
| No. of Shares | 286 | | | | | | | | | | | |
| **Projected Price** | **250** | | | | | | | | | | | |

Source: Company data, Morgan Stanley Research (e) estimates

**Exhibit 9:** Elan Microelectronics: P/E band


Source: Company data, TEJ, Morgan Stanley Research estimates

# Risk Reward – Elan Microelectronics Corp (2458.TW)

Content share gainer, plus non-PC business starting to bear fruit; OW

## PRICE TARGET NT$250.00

Residual income. We assume a cost of equity of 9.6%, an intermediate growth rate of 10.0%, payout ratio of 80% and terminal growth rate of 4.5%.

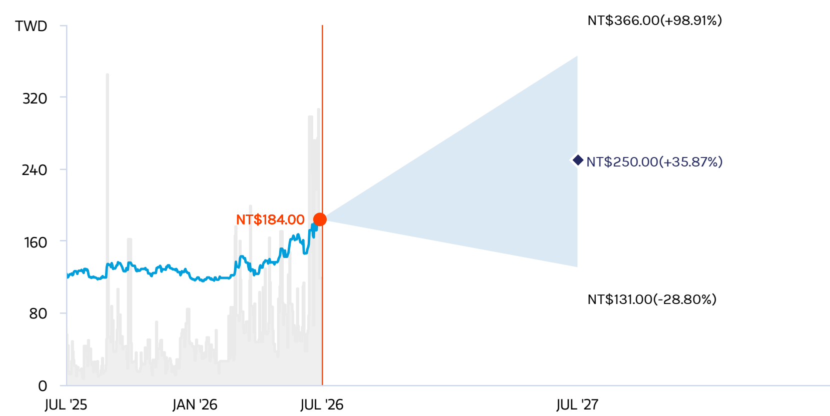
**Consensus Price Target Distribution**

NT$160.00 — NT$174.50 (Mean) — NT$250.00 (MS PT)

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

## RISK REWARD CHART




**Key:** — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

## OVERWEIGHT THESIS

- Elan Microelectronics is a global leader in notebook-related ICs, capturing 50%+ share of touchpad, point-sticks and other peripheral ICs.
- We expect haptic touchpad penetration to increase as the Windows 11 operating system allows users to customize the feel of their touchpads.
- Non-PC business such as drones, ADAS and AI glasses has started shipments and growth is expected to be robust over the next three years.

**Consensus Rating Distribution**

| | |
|---|---|
| 56% | Overweight |
| 44% | Equal-weight |
| 0% | Underweight |

● MS Rating

Source: Refinitiv, Morgan Stanley Research

**Risk Reward Themes**

| | |
|---|---|
| **New Data Era:** | *Positive* |
| **Self-help:** | *Positive* |

View descriptions of Risk Rewards Themes here

### BULL CASE NT$366.00

**30x 2027e EPS**

**We expect AI PC to bring more content upgrades:** 1) Elan Micro revenue CAGR of 15% (2025-28e); 2) non-PC contribution rises to 25% in 2027; 3) gross margin goes to 52% on average in 2026-28 vs. 49% in 2025.

### BASE CASE NT$250.00

**20x 2027e EPS**

**We expect the haptics touchpad and non-PC business to add growth:** 1) Elan Micro revenue CAGR of 11% (2025-28); 2) non-PC contribution rises to 15% in 2027; 3) gross margin to be around 48-49% in 2026-28e.

### BEAR CASE NT$131.00

**11x 2027e EPS**

**We expect the notebook replacement cycle to stay at around four years over the next three years:** 1) Elan Micro revenue CAGR (2025-28e) to be zero; 2) non-PC contribution stays at 10% in 2027; 3) gross margin falls to 40% on average in 2026-28e vs. 49% in 2025.

# Risk Reward – Elan Microelectronics Corp (2458.TW)

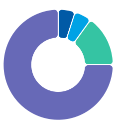
## KEY EARNINGS INPUTS

| Drivers | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|---|---|---|---|---|
| Touchpad shipment growth (%) | (2) | (8) | 10 | (4) |
| Touchpad ASP growth (%) | 1 | 8 | 8 | 4 |
| Gross margin (%) | 48.6 | 49.2 | 49.7 | 49.9 |

## INVESTMENT DRIVERS

- Global notebook shipment growth
- Touchpad, controller IC and fingerprint market share in notebooks
- Notebook peripheral IC content growth

## GLOBAL REVENUE EXPOSURE



- 0-10% Europe ex UK
- 0-10% North America
- 10-20% Mainland China
- 70-80% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

## RISKS TO PT/RATING

### RISKS TO UPSIDE

- Notebook shipments stronger than expected.
- AI PCs help content growth in notebook peripheral ICs.
- e-book controller IC ramps up faster then expected.

### RISKS TO DOWNSIDE

- Notebook replacement cycle extents, shipments lower than expected.
- No spec upgrade in notebook peripheral ICs in AI PC era.
- No progress in e-book controller IC.

## OWNERSHIP POSITIONING

**Inst. Owners, % Active** 71.6%

Source: Refinitiv, Morgan Stanley Research

## MS ESTIMATES VS. CONSENSUS

*FY Dec 2026e*

| | Low | Mean | Morgan Stanley Estimates | High |
|---|---|---|---|---|
| **EPS** (NT$) | 9.15 | 9.60 | 10.49 | |
| **Net income** (NT$, mn) | 2,606 | 2,829 | 3,004 | 3,188 |
| **Sales / Revenue** (NT$, mn) | 13,013 | 13,473 | 13,886 | 14,175 |
| **EBIT** (NT$, mn) | 3,045 | 3,300 | 3,535 | 3,725 |

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

# Elan: Financial Summary

**Exhibit 10:** Elan Micro: Financial Summary

### Income Statement

| NT$mn (Years End Dec ) | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| Net sales | 12,326 | 13,886 | 15,901 | 16,713 |
| COGS | (6,330) | (7,051) | (7,999) | (8,696) |
| Gross profit | 5,996 | 6,836 | 7,902 | 8,017 |
| Operating expenses | (3,014) | (3,300) | (3,572) | (3,622) |
| **Operating income** | **2,982** | **3,535** | **4,330** | **4,395** |
| Non-operating income | (132) | 254 | 187 | 176 |
| Pre-tax income | 2,850 | 3,789 | 4,517 | 4,571 |
| Income tax | 543 | 901 | 1,129 | 1,143 |
| Net Income, Cont Ops | 2,307 | 2,888 | 3,388 | 3,428 |
| Minority Interest | 135 | 117 | 140 | 140 |
| **Reported net Income** | **2,442** | **3,004** | **3,528** | **3,568** |
| Adj.wtd.avg.shrs (million) | 286 | 286 | 286 | 286 |
| **Reported EPS (NT$)** | **8.53** | **10.49** | **12.32** | **12.46** |
| **Modelware Diluted EPS (NT$)** | **8.46** | **10.46** | **12.32** | **12.46** |

### Balance Sheet

| NT$mn (Years End Dec ) | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| Cash | 2,400 | 3,037 | 3,765 | 4,281 |
| Mkt Securities | 380 | 380 | 380 | 380 |
| AR/NR | 1,236 | 1,388 | 1,590 | 1,671 |
| Inventory | 1,583 | 1,854 | 2,103 | 2,287 |
| Other | 2,411 | 2,411 | 2,411 | 2,411 |
| **Current Assets** | **8,010** | **9,070** | **10,249** | **11,030** |
| Long-term investments | 1,901 | 1,901 | 1,901 | 1,901 |
| Fixed assets | 4,398 | 4,837 | 5,321 | 5,853 |
| Deffered assets | 53 | 53 | 53 | 53 |
| Other assets | 1,210 | 1,210 | 1,210 | 1,210 |
| **Total Assets** | **15,572** | **17,072** | **18,735** | **20,047** |
| S/T borrowings | 200 | 200 | 200 | 200 |
| AP/NP | 982 | 1,115 | 1,265 | 1,376 |
| Other ST liabilities | 1,976 | 1,976 | 1,976 | 1,976 |
| LT debt | 969 | 969 | 969 | 969 |
| Other LT liabilities | 990 | 990 | 990 | 990 |
| Common shares | 3,039 | 3,039 | 3,039 | 3,039 |
| **Total Liabilities** | **5,116** | **5,250** | **5,400** | **5,510** |
| Additional capital | 3,467 | 3,467 | 3,467 | 3,467 |
| Retained earning | 3,877 | 5,244 | 6,757 | 7,959 |
| Other shareholders' equity | 72 | 72 | 72 | 72 |
| **Total Equity** | **10,456** | **11,822** | **13,335** | **14,537** |
| **Total Liab. & Shrhldr's Equity** | **15,572** | **17,072** | **18,735** | **20,047** |

e = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

### Cash Flow Statement

| NT$mn (Years End Dec ) | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| **Cashflow from Operations** | **2,650** | **2,866** | **3,383** | **3,574** |
| Net profits | 2,442 | 3,004 | 3,528 | 3,568 |
| Depreciation | 147 | 151 | 156 | 161 |
| Working Capital Change | 102 | (290) | (301) | (154) |
| Other adjustments | (41) | 0 | 0 | 0 |
| **Cashflow from Investing** | **(2,253)** | **(591)** | **(640)** | **(693)** |
| Capex | (1,709) | (591) | (640) | (693) |
| Change of LT Investment | (35) | 0 | 0 | 0 |
| Change of ST Investment | (27) | 0 | 0 | 0 |
| Other adjustments | (481) | 0 | 0 | 0 |
| **Cashflow from financing** | **(1,269)** | **(1,638)** | **(2,015)** | **(2,366)** |
| Increase in L/T debt | 500 | 0 | 0 | 0 |
| Increase in S/T debt | 70 | 0 | 0 | 0 |
| Cash Dividend Paid | (1,835) | (1,638) | (2,015) | (2,366) |
| Dir& Emp Bonus Paid | 0 | 0 | 0 | 0 |
| Issuance of stock | 16 | 0 | 0 | 0 |
| Other adjustments | (20) | 0 | 0 | 0 |
| Exchange rate adjustment | (1) | 0 | 0 | 0 |
| **Net change in cash** | **-873** | **637** | **728** | **516** |

### Financial Ratios

| | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| **Growth(%)** | | | | |
| Turnover | -2.9 | 12.7 | 14.5 | 5.1 |
| Operating profits | -2.7 | 18.5 | 22.5 | 1.5 |
| Pretax profits | -12.9 | 32.9 | 19.2 | 1.2 |
| Net profits | -10.7 | 23.0 | 17.4 | 1.1 |
| EPS | -10.9 | 23.7 | 17.8 | 1.1 |
| **Margins (%)** | | | | |
| Gross Margin | 48.6 | 49.2 | 49.7 | 48.0 |
| Operating Margin | 24.2 | 25.5 | 27.2 | 26.3 |
| Pretax Margin | 23.1 | 27.3 | 28.4 | 27.3 |
| Net Profit | 19.8 | 21.6 | 22.2 | 21.3 |
| **Return (%)** | | | | |
| ROAE | 23.9 | 27.0 | 28.0 | 25.6 |
| ROAA | 16.0 | 18.4 | 19.7 | 18.4 |
| **Gearing (%)** | | | | |
| Net Debt/Equity | (21.0) | (24.0) | (26.7) | (28.1) |
| Liabilities/Equity | 48.9 | 44.4 | 40.5 | 37.9 |
| **Ratios (X)** | | | | |
| Current ratio | 2.5 | 2.8 | 3.0 | 3.1 |
| Quick ratio | 1.2 | 1.3 | 1.6 | 1.7 |
| **Others** | | | | |
| AR/NR Turnover (days) | 36 | 36 | 36 | 36 |
| Inventory Turnover (days) | 96 | 96 | 96 | 96 |
| AP Turnover (days) | 58 | 58 | 58 | 58 |
| Cash Conversion (days) | 75 | 75 | 75 | 75 |

Source: Company data, Morgan Stanley Research (e) estimates

# Realtek: Earnings Estimate Revisions

**We adjust 2026/27/28 EPS by +21%/+31%/+26%, respectively:** We revise up our earnings/PT thanks to the sustained 3Q outlooks (both revenue and GM). For 3Q, we believe the PC semis customers could maintain a flattish Q/Q procurement target, with key components (e.g. CPU) showing further sequential growth. We think the major driver could be the FOMP (fear of missing procurement), which is driven by the overall mature foundry and OSAT tightness (limited supply and cost hikes). We also think some customers may consider the low inventory risks if there's pent-up demand into 2027.

**Exhibit 11:** Realtek: Estimate revisions

| (NT$ mn) | New '26e | Old '26e | Diff. | New '27e | Old '27e | Diff. | New '28e | Old '28e | Diff. |
|---|---|---|---|---|---|---|---|---|---|
| Net sales | 156,709 | 146,001 | 7% | 160,658 | 148,697 | 8% | 162,724 | 154,506 | 5% |
| COGS | 79,554 | 74,330 | | 82,304 | 77,243 | | 83,198 | 80,714 | |
| Gross profit | 77,155 | 71,671 | 8% | 78,354 | 71,454 | 10% | 79,526 | 73,793 | 8% |
| Operating expenses | 54,021 | 52,964 | | 54,415 | 53,518 | | 54,684 | 54,355 | |
| Operating profit | 23,134 | 18,706 | 24% | 23,939 | 17,936 | 33% | 24,841 | 19,438 | 28% |
| Non-op. income (exp.) | 2,517 | 2,517 | | 1,731 | 1,731 | | 1,143 | 1,143 | |
| Pretax income | 25,650 | 21,223 | 21% | 25,669 | 19,667 | 31% | 25,984 | 20,580 | 26% |
| Taxes | 3,749 | 3,084 | | 3,850 | 2,950 | | 3,898 | 3,087 | |
| Net income | 21,902 | 18,139 | 21% | 21,819 | 16,717 | 31% | 22,086 | 17,493 | 26% |
| **Reported EPS** | **42.71** | **35.37** | **21%** | **42.54** | **32.60** | **31%** | **43.06** | **34.11** | **26%** |
| **Margins** | | | | | | | | | |
| Gross margin | 49.2% | 49.1% | 0.1% | 48.8% | 48.1% | 0.7% | 48.9% | 47.8% | 1.1% |
| Operating margin | 14.8% | 12.8% | 1.9% | 14.9% | 12.1% | 2.8% | 15.3% | 12.6% | 2.7% |
| Pretax margin | 16.4% | 14.5% | 1.8% | 16.0% | 13.2% | 2.8% | 16.0% | 13.3% | 2.6% |
| Net margin | 14.0% | 12.4% | 1.6% | 13.6% | 11.2% | 2.3% | 13.6% | 11.3% | 2.3% |
| Opex % | 34.5% | 36.3% | -1.8% | 33.9% | 36.0% | -2.1% | 33.6% | 35.2% | -1.6% |

Source: Company data, Morgan Stanley Research (e) estimates

**Exhibit 12:** Realtek: Quarterly financial statements

| (NT$ mn) | 1Q26 | 2Q26e | 3Q26e | 4Q26e | 1Q27e | 2Q27e | 3Q27e | 4Q27e | 1Q28e | 2Q28e | 3Q28e | 4Q28e | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Total Revenues** | **36,423** | **38,311** | **40,921** | **41,055** | **37,964** | **41,285** | **43,856** | **37,554** | **37,381** | **40,374** | **43,129** | **41,839** | **122,706** | **156,709** | **160,658** | **162,724** |
| *Sequential Change* | *38.6%* | *5.2%* | *6.8%* | *0.3%* | *-7.5%* | *8.7%* | *6.2%* | *-14.4%* | *-0.5%* | *8.0%* | *6.8%* | *-3.0%* | | | | |
| *Change vs Year Ago* | *4.0%* | *20.0%* | *38.8%* | *56.2%* | *4.2%* | *7.8%* | *7.2%* | *-8.5%* | *-1.5%* | *-2.2%* | *-1.7%* | *11.4%* | *8.2%* | *27.7%* | *2.5%* | *1.3%* |
| Cost of Sales | 18,336 | 19,374 | 20,804 | 21,041 | 19,484 | 21,182 | 22,519 | 19,119 | 19,212 | 20,717 | 21,992 | 21,277 | 61,333 | 79,554 | 82,304 | 83,198 |
| *Percent of Revenues* | *50%* | *51%* | *51%* | *51%* | *51%* | *51%* | *51%* | *51%* | *51%* | *51%* | *51%* | *51%* | *50%* | *51%* | *51%* | *51%* |
| **Gross Profit** | **18,087** | **18,937** | **20,117** | **20,014** | **18,480** | **20,102** | **21,337** | **18,435** | **18,170** | **19,657** | **21,136** | **20,562** | **61,374** | **77,155** | **78,354** | **79,526** |
| *Percent of Revenues* | *49.7%* | *49.4%* | *49.2%* | *48.8%* | *48.7%* | *48.7%* | *48.7%* | *49.1%* | *48.6%* | *48.7%* | *49.0%* | *49.1%* | *50.0%* | *49.2%* | *48.8%* | *48.9%* |
| *Incremental Margin* | *54%* | *45%* | *45%* | *-77%* | *NM* | *49%* | *48%* | *NM* | *NM* | *50%* | *54%* | *NM* | *45%* | *46%* | *30%* | *57%* |
| Total Opex | 13,755 | 13,836 | 13,683 | 12,747 | 13,764 | 14,179 | 14,026 | 12,446 | 13,706 | 14,108 | 13,975 | 12,895 | 47,014 | 54,021 | 54,415 | 54,684 |
| *Percent of Revenues* | *37.8%* | *36.1%* | *33.4%* | *31.0%* | *36.3%* | *34.3%* | *32.0%* | *33.1%* | *36.7%* | *34.9%* | *32.4%* | *30.8%* | *38.3%* | *34.5%* | *33.9%* | *33.6%* |
| **Operating Income** | **4,332** | **5,101** | **6,434** | **7,267** | **4,715** | **5,923** | **7,312** | **5,989** | **4,464** | **5,549** | **7,162** | **7,667** | **14,360** | **23,134** | **23,939** | **24,841** |
| *Percent of Revenues* | *11.9%* | *13.3%* | *15.7%* | *17.7%* | *12.4%* | *14.3%* | *16.7%* | *15.9%* | *11.9%* | *13.7%* | *16.6%* | *18.3%* | *11.7%* | *14.8%* | *14.9%* | *15.3%* |
| Total Non-operating Income (Loss) | 646 | 646 | 646 | 580 | 433 | 433 | 433 | 433 | 286 | 286 | 286 | 286 | 2,901 | 2,517 | 1,731 | 1,143 |
| Profit Before Taxes | 4,977 | 5,746 | 7,080 | 7,847 | 5,148 | 6,356 | 7,744 | 6,421 | 4,749 | 5,834 | 7,448 | 7,953 | 17,261 | 25,650 | 25,669 | 25,984 |
| *Percent of Revenues* | *14%* | *15%* | *17%* | *19%* | *14%* | *15%* | *18%* | *17%* | *13%* | *14%* | *17%* | *19%* | *14%* | *16%* | *16%* | *16%* |
| Taxes | 648 | 862 | 1,062 | 1,177 | 772 | 953 | 1,162 | 963 | 712 | 875 | 1,117 | 1,193 | 2,507 | 3,749 | 3,850 | 3,898 |
| *Tax Rate* | *13.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *15.0%* | *14.5%* | *14.6%* | *15.0%* | *15.0%* |
| **Reported Income (TW GAAP)** | **4,330** | **4,884** | **6,018** | **6,670** | **4,376** | **5,402** | **6,583** | **5,458** | **4,037** | **4,959** | **6,330** | **6,760** | **14,753** | **21,902** | **21,819** | **22,086** |
| *Percent of Revenues* | *11.9%* | *12.7%* | *14.7%* | *16.2%* | *11.5%* | *13.1%* | *15.0%* | *14.5%* | *10.8%* | *12.3%* | *14.7%* | *16.2%* | *12.0%* | *14.0%* | *13.6%* | *13.6%* |
| *Change vs Year Ago* | *-9%* | *25%* | *76%* | *151%* | *1%* | *11%* | *9%* | *-18%* | *-8%* | *-8%* | *-4%* | *24%* | *-4%* | *48%* | *0%* | *1%* |
| **Reported EPS (NT$, TW GAAP)** | **8.44** | **9.52** | **11.73** | **13.01** | **8.53** | **10.53** | **12.84** | **10.64** | **7.87** | **9.67** | **12.34** | **13.18** | **28.77** | **42.71** | **42.54** | **43.06** |
| *Change vs Year Ago* | *-9%* | *25%* | *76%* | *151%* | *1%* | *11%* | *9%* | *-18%* | *-8%* | *-8%* | *-4%* | *24%* | *-4%* | *48%* | *0%* | *1%* |

Source: Company data, Morgan Stanley Research (e) estimates

# Realtek: Valuation Methodology

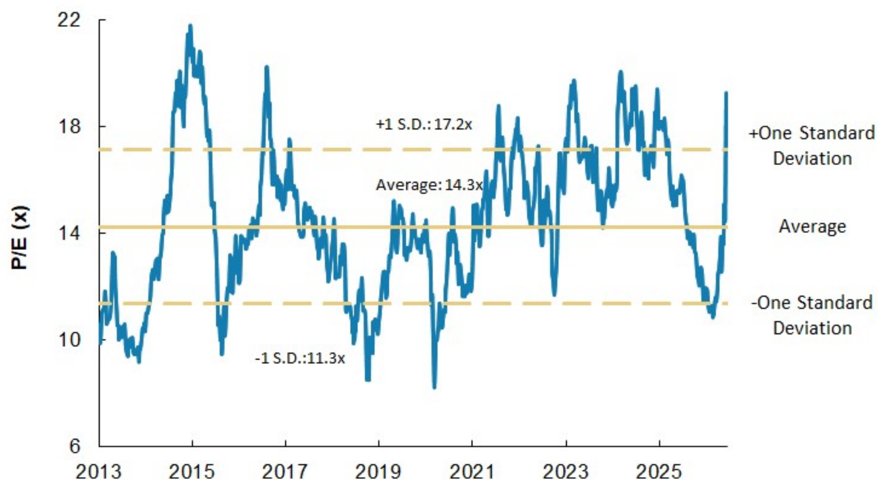
**We raise our price target from NT$570 to NT$717:** We factor in changes to our earnings estimates for 2025-27 while we keep other RI parameters unchanged. We keep our cost of equity at 9.6%, intermediate growth rate of 7.3%, payout ratio of 79% and terminal growth rate of 4.5%. Our bull case is raised to NT$1,117 from NT$840, and bear case is raised to NT$517 from NT$350.

**Exhibit 13:** Realtek: RI model

| (NT$ mn) | 2026e | 2027e | 2028e | 2029e | 2030e | 2031e | 2032e | 2033e | 2034e | 2035e | 2036e |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Total Equity** | 62,054 | 65,970 | 70,221 | 77,025 | 84,323 | 92,150 | 100,546 | 109,551 | 119,210 | 129,571 | 140,683 |
| **Net Profit** | 21,902 | 21,819 | 22,086 | 23,690 | 25,410 | 27,255 | 29,233 | 31,356 | 33,632 | 36,074 | 38,693 |
| ROAE | 38.3% | 34.1% | 32.4% | 32.2% | 31.5% | 30.9% | 30.3% | 29.8% | 29.4% | 29.0% | 28.6% |
| **Residual Income** | 15,006 | 15,198 | 15,068 | 15,859 | 16,871 | 17,956 | 19,119 | 20,366 | 21,702 | 23,135 | 24,671 |
| **Spread** | 28.7% | 24.5% | 22.8% | 22.6% | 21.9% | 21.3% | 20.7% | 20.3% | 19.8% | 19.4% | 19.0% |
| Ending Equity Capital | 62,054 | | | | | | | | | | |
| PV of Forecast Period | 103,847 | | | | | | | | | | |
| PV of Continuing Value | 201,685 | | | | | | | | | | |
| **Equity Value** | 367,587 | | | | | | | | | | |
| No. of Shares | 513 | | | | | | | | | | |
| **Projected Price** | 717 | | | | | | | | | | |

Source: Company data, Morgan Stanley Research (e) estimates

**Exhibit 14:** Realtek: Historical P/E




Source: Factset, Morgan Stanley Research estimates

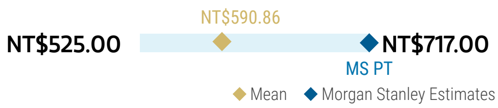
# Risk Reward – Realtek Semiconductor (2379.TW)

Demand and margin facing pressure; EW

## PRICE TARGET NT$717.00

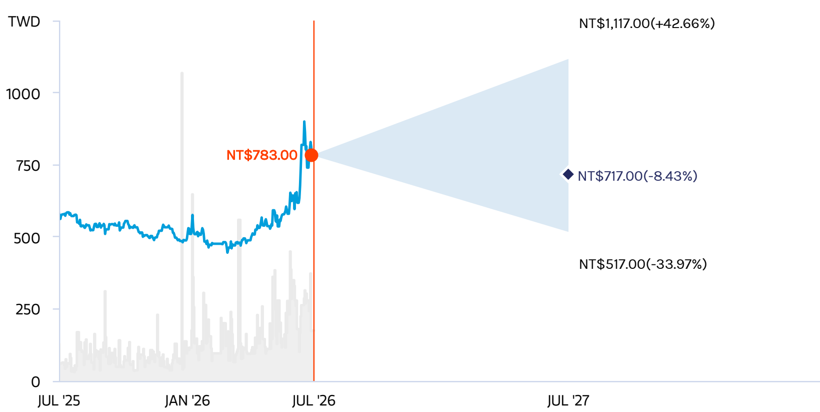
Base case, residual income model. We assume a cost of equity of 9.6%, an intermediate growth rate of 7.3%, payout ratio of 79%, and terminal growth rate of 4.5%.

**Consensus Price Target Distribution**




Source: Refinitiv, Morgan Stanley Research

## RISK REWARD CHART



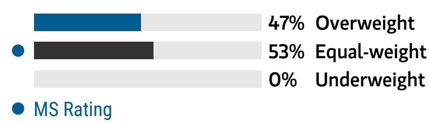

**Key:** Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

## EQUAL-WEIGHT THESIS

- Strong 1Q26 shipments may be a result of pre-stocking; momentum in 2H could be weaker or below seasonality. Gross margin is under pressure from component price hikes.
- We believe Realtek could benefit from China's semi localization for auto Ethernet. There are no suitable local players, and Realtek has penetrated EU and US brands since 2018.
- AI glasses are another secular growth driver; Realtek's AI glasses solution could drive down BOM cost 70-80% vs. the current solution from US peer Qualcomm.
- We view the current 2026e P/E as fair relative to our implied target P/E of 17x.

**Consensus Rating Distribution**




Source: Refinitiv, Morgan Stanley Research

**Risk Reward Themes**

**Electric Vehicles:** *Positive*

View descriptions of Risk Rewards Themes here

## BULL CASE NT$1,117.00

### 26x 2026e EPS

**PC and consumer tech orders become stronger, switch/Bluetooth demand recovery comes earlier and is stronger, and higher costs and competition fade away:** 1) Wi-Fi to show 30% Y/Y increase in 2026; 2) Ethernet +40% Y/Y in 2026; 3) switches to increase 40% Y/Y; 4) audio Codec +15% Y/Y; 5) gross margin goes to 52% in 2026, as margin erosion from pricing pressure is minimal.

## BASE CASE NT$717.00

### 17x 2026e EPS

**For 2026, we expect a modest PC decline owing to component price hikes and a GM decline from cost pass-through without markups:** 1) Wi-Fi to show 19% Y/Y increase in 2026; 2) Ethernet +30% Y/Y in 2026; 3) switches to increase 27% Y/Y; 4) audio Codec +6% Y/Y; 5) gross margin declines to 49% in 2026, vs 50% in 2025.

## BEAR CASE NT$517.00

### 12x 2026e EPS

**PC and consumer tech orders become weaker, switch/Bluetooth demand recovery comes later and weaker; margin erosion from pricing pressure, higher costs and pricing competition becomes more severe:** 1) Wi-Fi -17% Y/Y in 2026; 2) Ethernet -10% Y/Y in 2026; 3) switches flat Y/Y; 4) audio Codec -30% Y/Y; 5) gross margin declines to 48% in 2026, as margin erosion from pricing pressure intensifies.

# Risk Reward – Realtek Semiconductor (2379.TW)

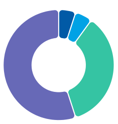
## KEY EARNINGS INPUTS

| Drivers | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|---|---|---|---|---|
| 1. Wifi Sales (%) (%) | 29.3 | 27.4 | 22.5 | 19.3 |
| 2. Ethernet Sales (%) (%) | 5.8 | 5.9 | 5.7 | 5.8 |
| 3. Switch Sales (%) (%) | 18.1 | 18.0 | 16.2 | 14.8 |
| 4. Bluetooth Sales (%) (%) | 6.1 | 5.6 | 4.3 | 3.5 |
| 5. TV SoC (%) (%) | 12.9 | 12.9 | 19.1 | 19.3 |

## INVESTMENT DRIVERS

- Diversifying its exposure to PCs
- Eased Wi-Fi margin pressure
- Continued growth in IoT business
- New growth driver from auto Ethernet

## GLOBAL REVENUE EXPOSURE



- 0-10% Japan
- 0-10% North America
- 30-40% Mainland China
- 50-60% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

## MS ALPHA MODELS

| | |
|---|---|
| 1/5 MOST | 3 Month Horizon |

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

## RISKS TO PT/RATING

**RISKS TO UPSIDE**

- Stronger-than-expected Wi-Fi growth
- Faster-than-expected new product growth
- Faster-than-expected adoption for auto Ethernet
- Fading PC semi inventory corrections

**RISKS TO DOWNSIDE**

- Weaker-than-expected Wi-Fi growth
- Slower-than-expected new product growth
- Slower-than-expected margin recovery given ongoing pricing competition
- Further TV SoC project losses in China
- Slower-than-expected adoption for auto Ethernet

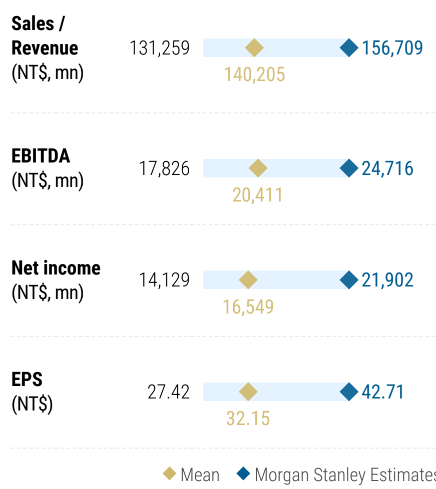
## OWNERSHIP POSITIONING

**Inst. Owners, % Active** 74.7%

Source: Refinitiv, Morgan Stanley Research

## MS ESTIMATES VS. CONSENSUS

*FY Dec 2026e*




Source: Refinitiv, Morgan Stanley Research

# Realtek: Financial Summary

## Income Statement

| NT$mn (Years End Dec ) | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| Net sales | 122,706 | 156,709 | 160,658 | 162,724 |
| COGS | (61,333) | (79,554) | (82,304) | (83,198) |
| Gross profit | 61,374 | 77,155 | 78,354 | 79,526 |
| Operating expenses | (47,014) | (54,021) | (54,415) | (54,684) |
| **Operating income** | **14,360** | **23,134** | **23,939** | **24,841** |
| Non-operating income | 2,901 | 2,517 | 1,731 | 1,143 |
| Pre-tax income | 17,261 | 25,650 | 25,669 | 25,984 |
| Income tax | 1,476 | 2,165 | 2,041 | 2,066 |
| Net Income bf. emp. bonus | 18,737 | 27,815 | 27,710 | 28,050 |
| Employee bonus expense | 3,983 | 5,913 | 5,891 | 5,963 |
| **Reported net Income** | **14,753** | **21,902** | **21,819** | **22,086** |
| Adj.wtd. avg. shrs (million) | 513 | 513 | 513 | 513 |
| **Reported EPS (NT$)** | **28.77** | **42.71** | **42.54** | **43.06** |
| **Modelware Diluted EPS (NT$)** | **28.77** | **42.71** | **42.54** | **43.06** |

## Balance Sheet

| NT$mn (Years End Dec ) | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| Cash | 13,066 | 17,935 | 19,939 | 22,569 |
| Mkt Securities | 48,310 | 48,310 | 48,310 | 48,310 |
| AR/NR | 15,011 | 19,129 | 19,611 | 19,864 |
| Inventory | 19,561 | 21,445 | 22,187 | 22,428 |
| Other | 1,409 | 1,409 | 1,409 | 1,409 |
| **Current Assets** | **97,357** | **108,229** | **111,456** | **114,579** |
| Long-term investments | 14,175 | 14,175 | 14,175 | 14,175 |
| Fixed assets | 10,605 | 11,665 | 12,832 | 14,115 |
| Deffered assets | 506 | 506 | 506 | 506 |
| Other assets | 7,260 | 7,260 | 7,260 | 7,260 |
| **Total Assets** | **129,903** | **141,835** | **146,229** | **150,636** |
| S/T borrowings | 10,090 | 10,090 | 10,090 | 10,090 |
| AP/NP | 11,738 | 13,828 | 14,306 | 14,461 |
| Other ST liabilities | 52,928 | 52,928 | 52,928 | 52,928 |
| LT debt | 0 | 0 | 0 | 0 |
| Other LT liabilities | 2,935 | 2,935 | 2,935 | 2,935 |
| Common shares | 5,155 | 5,155 | 5,155 | 5,155 |
| **Total Liabilities** | **77,691** | **79,781** | **80,259** | **80,415** |
| Additional capital | 10,506 | 10,506 | 10,506 | 10,506 |
| Retained earning | 33,733 | 43,575 | 47,491 | 51,742 |
| Other shareholders' equity | 2,818 | 2,818 | 2,818 | 2,818 |
| **Total Equity** | **52,212** | **62,054** | **65,970** | **70,221** |
| **Total Liab. & Shrhldr's Equity** | **129,903** | **141,835** | **146,229** | **150,636** |

e = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

## Cash Flow Statement

| NT$mn (Years End Dec ) | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| **Cashflow from Operations** | **23,015** | **19,571** | **22,703** | **23,427** |
| Net profits | 14,753 | 21,902 | 21,819 | 22,086 |
| Depreciation | 1,536 | 1,582 | 1,629 | 1,678 |
| Working Capital Change | (3,410) | (3,913) | (745) | (338) |
| Other adjustments | 10,136 | 0 | 0 | 0 |
| **Cashflow from Investing** | **(16,380)** | **(2,643)** | **(2,796)** | **(2,962)** |
| Capex | (2,089) | (2,643) | (2,796) | (2,962) |
| Change of LT Investment | (11,917) | 0 | 0 | 0 |
| Change of ST Investment | 0 | 0 | 0 | 0 |
| Other adjustments | (2,374) | 0 | 0 | 0 |
| **Cashflow from financing** | **(7,616)** | **(12,060)** | **(17,903)** | **(17,835)** |
| Increase in L/T debt | 0 | 0 | 0 | 0 |
| Increase in S/T debt | 5,590 | 0 | 0 | 0 |
| Cash Dividend Paid | (13,078) | (12,060) | (17,903) | (17,835) |
| Dir& Emp Bonus Paid | 0 | 0 | 0 | 0 |
| Issuance of stock | 0 | 0 | 0 | 0 |
| Other adjustments | (128) | 0 | 0 | 0 |
| Exchange rate adjustment | (766) | 0 | 0 | 0 |
| **Net change in cash** | **-1,747** | **4,869** | **2,004** | **2,630** |

## Financial Ratios

| | 2025 | 2026e | 2027e | 2028e |
|---|---|---|---|---|
| **Growth(%)** | | | | |
| Turnover | 8.2 | 27.7 | 2.5 | 1.3 |
| Operating profits | 6.4 | 61.1 | 3.5 | 3.8 |
| Pretax profits | 5.6 | 48.6 | 0.1 | 1.2 |
| Net profits | -3.5 | 48.5 | -0.4 | 1.2 |
| EPS | -3.5 | 48.5 | -0.4 | 1.2 |
| **Margins (%)** | | | | |
| Gross Margin | 50.0 | 49.2 | 48.8 | 48.9 |
| Operating Margin | 11.7 | 14.8 | 14.9 | 15.3 |
| Pretax Margin | 14.1 | 16.4 | 16.0 | 16.0 |
| Net Profit | 12.0 | 14.0 | 13.6 | 13.6 |
| **Return (%)** | | | | |
| ROAE | 28.1 | 38.3 | 34.1 | 32.4 |
| ROAA | 12.1 | 16.1 | 15.1 | 14.9 |
| **Gearing (%)** | | | | |
| Net Debt/Equity | (5.7) | (12.6) | (14.9) | (17.8) |
| Liabilities/Equity | 148.8 | 128.6 | 121.7 | 114.5 |
| **Ratios (X)** | | | | |
| Current ratio | 1.3 | 1.4 | 1.4 | 1.5 |
| Quick ratio | 0.4 | 0.5 | 0.5 | 0.5 |
| **Others** | | | | |
| AR/NR Turnover (days) | 45 | 45 | 45 | 45 |
| Inventory Turnover (days) | 98 | 98 | 98 | 98 |
| AP Turnover (days) | 63 | 63 | 63 | 63 |
| Cash Conversion (days) | 80 | 80 | 80 | 80 |

# Valuation Methodology and Risks

### Novatek (3034.TW)

Base case, residual income model. Key assumptions: cost of equity constant at 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta), payout ratio of 80%, medium-term growth rate of 6.1% and terminal growth rate assumption of 3.4%.

### Risks to Upside

- Faster-than-expected 8K/4K TV growth.
- Better-than-expected smartphone sell-through.
- Better-than-expected sell-through of foldable products.

### Risks to Downside

- Intensified price competition in TDDI, driving Novatek's gross margin below its corporate average.
- Slower-than-expected 8K/4K TV growth.
- Slower sell-through of foldable products.

# Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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| | Coverage Universe | | Investment Banking Clients (IBC) | | | Other Material Investment Services Clients (MISC) | |
|---|---|---|---|---|---|---|---|
| Stock Rating Category | Count | % of Total | Count | % of Total IBC | % of Rating Category | Count | % of Total Other MISC |
| Overweight/Buy | 1544 | 42% | 453 | 49% | 29% | 757 | 44% |
| Equal-weight/Hold | 1577 | 43% | 390 | 42% | 25% | 769 | 44% |
| Not-Rated/Hold | 3 | 0% | 1 | 0% | 33% | 1 | 0% |
| Underweight/Sell | 544 | 15% | 89 | 10% | 16% | 204 | 12% |
| Total | 3,668 | | 933 | | | 1731 | |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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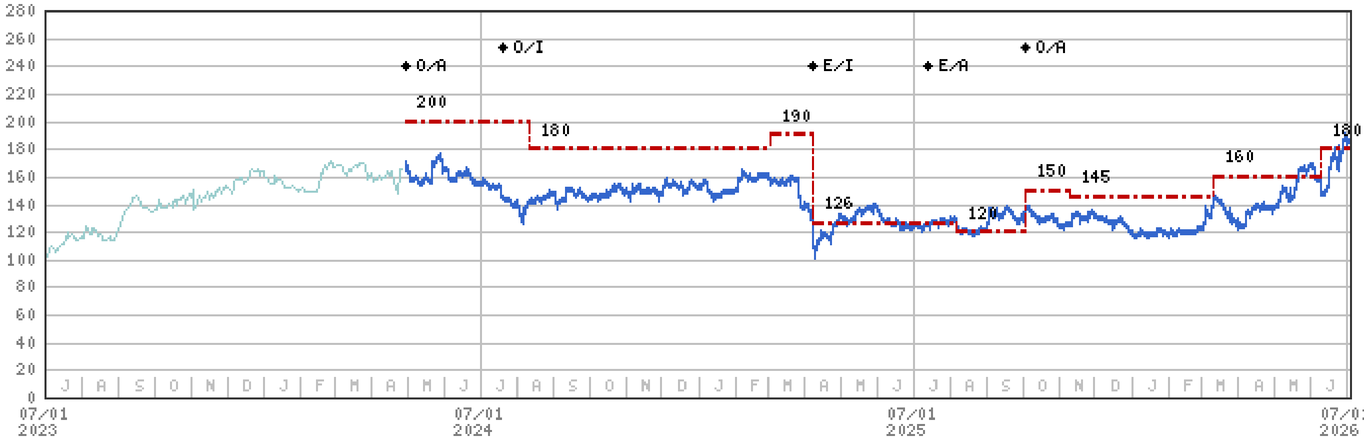
### Stock Price, Price Target and Rating History (See Rating Definitions)

Elan Microelectronics Corp (2458.TW) - As of 07/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors




Stock Rating History: 4/29/24 : O/A; 7/21/24 : O/I; 4/8/25 : E/I; 7/14/25 : E/A; 10/3/25 : O/A

Price Target History: 4/29/24 : 200; 8/12/24 : 180; 3/2/25 : 190; 4/8/25 : 126; 8/7/25 : 120; 10/3/25 : 150; 11/10/25 : 145; 3/11/26 : 160; 6/9/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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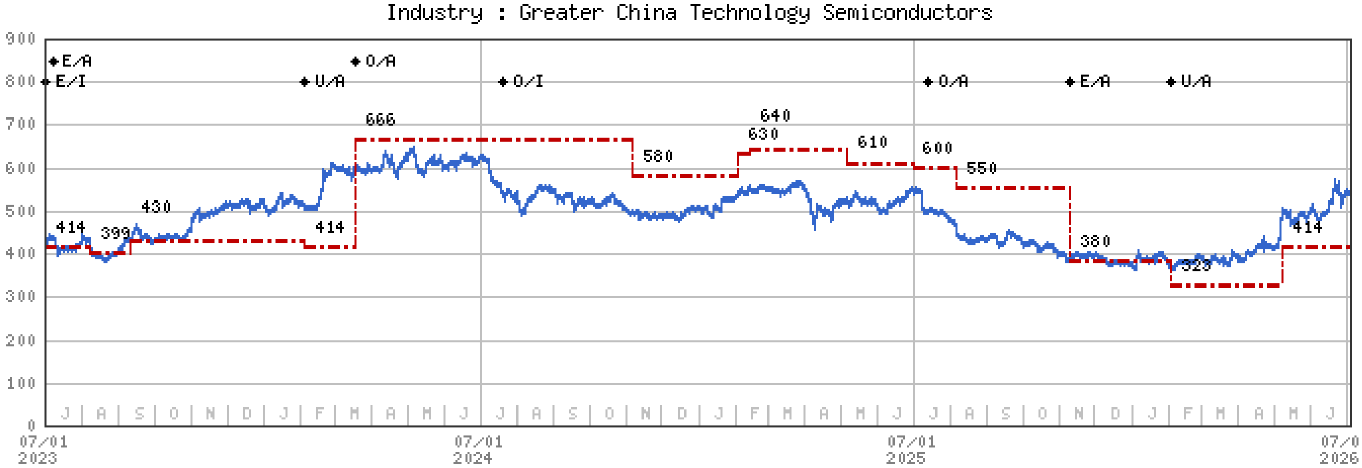
Novatek (3034.TW) - As of 07/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors




Stock Rating History: 7/1/21 : U/I; 10/12/21 : U/C; 10/4/22 : U/A; 2/22/23 : E/I; 7/7/23 : E/A; 2/5/24 : U/A; 3/18/24 : O/A; 7/21/24 : O/I; 7/14/25 : O/A; 11/10/25 : E/A; 2/4/26 : U/A

Price Target History: 5/20/21 : 414; 10/21/21 : 313; 5/4/22 : 272; 6/21/22 : 262; 7/12/22 : 174; 8/5/22 : 161; 2/22/23 : 390; 5/9/23 : 414; 8/8/23 : 399; 9/11/23 : 430; 2/5/24 : 414; 3/18/24 : 666; 11/6/24 : 580; 2/3/25 : 630; 2/13/25 : 640; 5/7/25 : 610; 7/1/25 : 600; 8/6/25 : 550; 11/10/25 : 380; 2/4/26 : 323; 5/8/26 : 414

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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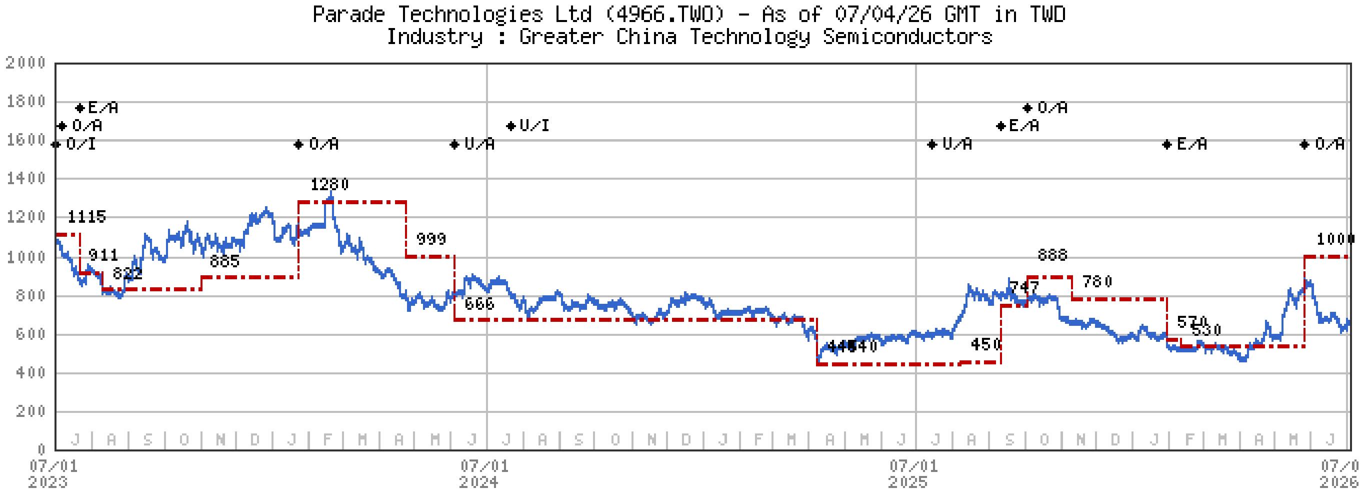


Stock Rating History: 7/1/21 : O/I; 10/12/21 : O/C; 7/12/22 : E/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/23 : E/A; 1/23/24 : O/A; 6/4/24 : U/A; 7/21/24 : U/I; 7/14/25 : U/A; 9/10/25 : E/A; 10/3/25 : O/A; 1/30/26 : E/A; 5/27/26 : O/A

Price Target History: 4/28/21 : 1700; 8/5/21 : 2120; 2/9/22 : 2215; 7/12/22 : 1150; 8/3/22 : 870; 9/13/22 : 717; 10/7/22 : 960; 10/31/22 : 825; 2/22/23 : 1125; 3/30/23 : 1200; 4/26/23 : 1140; 5/30/23 : 1115; 7/21/23 : 911; 8/9/23 : 822; 11/1/23 : 885; 1/23/24 : 1280; 4/23/24 : 999; 6/4/24 : 666; 4/8/25 : 445; 4/24/25 : 440; 8/8/25 : 450; 9/10/25 : 747; 10/3/25 : 888; 11/10/25 : 780; 1/30/26 : 570; 2/11/26 : 530; 5/27/26 : 1000

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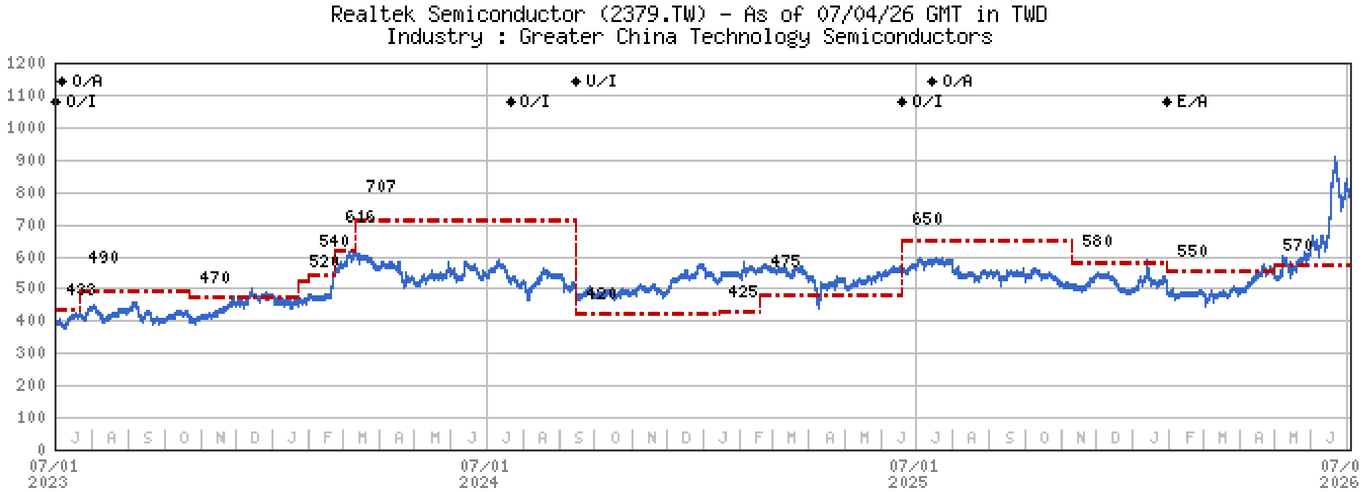


Stock Rating History: 7/1/21 : O/I; 10/12/21 : O/C; 2/24/22 : E/C; 10/4/22 : E/A; 12/13/22 : U/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 9/15/24 : U/I; 6/19/25 : O/I; 7/14/25 : O/A; 1/30/26 : E/A

Price Target History: 5/20/21 : 606; 7/26/21 : 666; 10/12/21 : 566; 2/24/22 : 505; 4/22/22 : 450; 7/12/22 : 333; 7/28/22 : 350; 9/13/22 : 313; 10/28/22 : 244; 12/13/22 : 239; 2/22/23 : 450; 5/30/23 : 433; 7/21/23 : 490; 10/23/23 : 470; 1/23/24 : 520; 2/1/24 : 540; 2/23/24 : 616; 3/11/24 : 707; 9/15/24 : 420; 1/14/25 : 425; 2/18/25 : 475; 6/19/25 : 650; 11/10/25 : 580; 1/30/26 : 550; 4/30/26 : 570

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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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## INDUSTRY COVERAGE: Greater China Technology Semiconductors

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (07/03/2026) |
|---|---|---|
| **Charlie Chan** | | |
| ACM Research Inc (ACMR.O) | O (03/07/2023) | US$97.77 |
| Advanced Micro-Fabrication Equipment Inc (688012.SS) | O (11/06/2023) | Rmb413.69 |
| Advanced Wireless Semiconductor Co (8086.TWO) | U (07/14/2025) | NT$144.00 |
| Alchip Technologies Ltd (3661.TW) | O (05/14/2021) | NT$4,650.00 |
| ASE Technology Holding Co. Ltd. (3711.TW) | O (09/15/2024) | NT$682.00 |
| Cambricon Technology Corporation (688256.SS) | O (04/27/2026) | Rmb1,353.00 |
| Global Unichip Corp (3443.TW) | O (06/24/2026) | NT$5,040.00 |
| GlobalWafers Co Ltd (6488.TWO) | E (05/19/2026) | NT$1,255.00 |
| Gudeng Precision (3680.TWO) | O (11/25/2025) | NT$539.00 |
| Hua Hong Semiconductor Ltd (1347.HK) | E (03/12/2026) | HK$178.00 |
| Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK) | O (04/27/2026) | HK$641.00 |
| King Yuan Electronics Co Ltd (2449.TW) | O (03/03/2023) | NT$335.00 |
| Maxscend Microelectronics Co Ltd (300782.SZ) | U (01/11/2021) | Rmb98.39 |
| MediaTek (2454.TW) | O (11/28/2025) | NT$4,195.00 |
| MetaX Integrated Circuits (688802.SS) | E (04/27/2026) | Rmb738.38 |
| Nanya Technology Corp. (2408.TW) | O (05/28/2026) | NT$409.50 |
| NAURA Technology Group Co Ltd (002371.SZ) | O (11/06/2023) | Rmb816.00 |
| OmniVision Integrated Circuits Group Inc (603501.SS) | E (11/17/2025) | Rmb102.30 |
| Phison Electronics Corp (8299.TWO) | E (02/25/2026) | NT$2,295.00 |
| SG Micro Corp. (300661.SZ) | E (11/03/2025) | Rmb139.60 |
| Silergy Corp. (6415.TW) | U (05/19/2026) | NT$605.00 |
| SMIC (0981.HK) | O (10/21/2025) | HK$77.60 |
| TSMC (2330.TW) | O (02/07/2022) | NT$2,445.00 |
| UMC (2303.TW) | O (05/19/2026) | NT$170.50 |
| Vanguard International Semiconductor (5347.TWO) | E (01/14/2026) | NT$193.50 |
| WIN Semiconductors Corp (3105.TWO) | U (07/14/2025) | NT$411.00 |

| | | |
|---|---|---|
| **Daisy Dai, CFA** | | |
| ASMPT Ltd (0522.HK) | O (07/24/2025) | HK$204.80 |
| China Resources Microelectronics Limited (688396.SS) | U (03/02/2026) | Rmb83.60 |
| Elan Microelectronics Corp (2458.TW) | O (10/03/2025) | NT$184.00 |
| Empyrean Technology Co Ltd (301269.SZ) | E (01/17/2025) | Rmb102.77 |
| Hangzhou Silan Microelectronics Co. Ltd. (600460.SS) | U (08/25/2025) | Rmb47.25 |
| Hygon Information Technology Co., Ltd. (688041.SS) | O (07/03/2026) | Rmb325.40 |
| Innoscience (2577.HK) | E (10/13/2025) | HK$60.65 |
| JCET Group Co Ltd (600584.SS) | E (01/16/2026) | Rmb90.88 |
| Shanghai Fudan Microelectronics (1385.HK) | O (03/07/2025) | HK$30.92 |
| SICC Co Ltd (688234.SS) | O (03/20/2026) | Rmb145.60 |
| StarPower Semiconductor Ltd (603290.SS) | E (05/14/2026) | Rmb129.35 |
| Unigroup Guoxin Microelectronics Co Ltd (002049.SZ) | U (01/10/2023) | Rmb81.76 |
| Universal Scientific Ind. (Shanghai) (601231.SS) | O (11/05/2025) | Rmb30.59 |
| Yangjie Technology (300373.SZ) | O (06/10/2022) | Rmb129.46 |
| **Daniel Yen, CFA** | | |
| AP Memory Technology Corp (6531.TW) | O (07/11/2025) | NT$987.00 |
| ASMedia Technology Inc (5269.TW) | U (10/03/2025) | NT$1,530.00 |
| Aspeed Technology (5274.TWO) | O (06/09/2025) | NT$17,265.00 |
| Egis Technology Inc (6462.TWO) | E (01/28/2026) | NT$117.50 |
| Espressif Systems (688018.SS) | O (05/15/2023) | Rmb120.11 |
| GigaDevice Semiconductor Beijing Inc (603986.SS) | O (05/15/2025) | Rmb677.77 |
| Macronix International Co Ltd (2337.TW) | O (09/18/2025) | NT$142.50 |
| Montage Technology Co Ltd (6809.HK) | O (03/18/2026) | HK$382.60 |
| Montage Technology Co Ltd (688008.SS) | O (03/18/2026) | Rmb266.80 |
| Novatek (3034.TW) | U (02/04/2026) | NT$538.00 |
| Nuvoton Technology Corporation (4919.TW) | U (11/10/2025) | NT$176.50 |
| Parade Technologies Ltd (4966.TWO) | O (05/27/2026) | NT$654.00 |
| Powerchip Semiconductor Manufacturing Co (6770.TW) | O (10/27/2025) | NT$73.40 |
| Realtek Semiconductor (2379.TW) | E (01/30/2026) | NT$783.00 |
| Shenzhen Goodix Technology Co Ltd (603160.SS) | U (07/14/2025) | Rmb59.03 |
| Winbond Electronics Corp (2344.TW) | O (05/28/2026) | NT$184.50 |
| WPG Holdings (3702.TW) | O (03/16/2026) | NT$110.00 |
| WT Microelectronics Co. Ltd. (3036.TW) | O (01/27/2026) | NT$221.50 |
| **Duan Liu** | | |
| Dosilicon Co Ltd (688110.SS) | U (09/06/2024) | Rmb178.80 |
| Shenzhen Longsys Electronics Co Ltd (301308.SZ) | E (02/25/2026) | Rmb618.02 |
| **Tiffany Yeh** | | |
| AllRing Tech Co. (6187.TWO) | O (09/23/2025) | NT$1,030.00 |
| FOCI Fiber Optic Communications Inc (3363.TWO) | O (01/15/2025) | NT$581.00 |
| Himax Technologies Inc (HIMX.O) | E (02/04/2026) | US$13.15 |
| Hon Precision (7769.TW) | O (04/17/2026) | NT$6,865.00 |
| MPI Corporation (6223.TWO) | O (04/17/2026) | NT$7,380.00 |
| Silicon Motion (SIMO.O) | O (05/06/2024) | US$300.71 |
| WinWay Technology Co Ltd (6515.TW) | O (04/17/2026) | NT$9,900.00 |

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